



European Defence Fund (EDF)

Call for proposals

EDF-2026-LS-DIS-RA-SMERO

Non-thematic research actions by SMEs and research organisations

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CALL FOR PROPOSALS

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0. Introduction

This is a call for proposals for EU action grants in the field of collaborative defence research and development under the European Defence Fund (EDF).

The regulatory framework for this EU Funding Programme is set out in:

- Regulation 2024/2509 ([EU Financial Regulation](#))¹
- the basic act (EDF Regulation [2021/697](#)²; STEP Regulation [2024/795](#)³).

The call is launched in accordance with the Work Programme 2026⁴ and will be managed by the European Commission, Directorate-General for Defence Industry and Space (DG DEFIS).

 Please be aware that, if selected, the Commission may decide that some projects are afterwards managed by the *European Defence Agency (EDA)*.

The call covers the following topics:

- **EDF-2026-LS-DIS-RA-SMERO-NT: Non-thematic research actions by SMEs and research organisations**

We invite you to read the call documentation carefully, and in particular this Call document, the Model Grant Agreement, the [EU Funding & Tenders Portal Online Manual](#) and the [EU Grants AGA – Annotated Grant Agreement](#).

These documents provide clarifications and answers to questions you may have when preparing your application:

- the [Call document](#) outlines the:
 - background, type of action and funding rate, objectives, scope and types of activities, functional requirements, expected impact and specific topic conditions (sections 1 and 2)
 - timetable and available budget (sections 3 and 4)
 - admissibility and eligibility conditions, including mandatory documents (sections 5 and 6)
 - criteria for financial and operational capacity and exclusion (section 7)
 - evaluation and award procedure (section 8)
 - award criteria (section 9)

¹ Regulation (EU, Euratom) 2024/2509 of the European Parliament and of the Council of 23 September 2024 on the financial rules applicable to the general budget of the Union (recast) ('EU Financial Regulation') (OJ L, 2024/2509, 26.9.2024).

² Regulation (EU) 2021/697 of the European Parliament and of the Council of 29 April 2021 establishing the European Defence Fund and repealing Regulation (EU) 2018/1092 (OJ L 170, 12.5.2021).

³ Regulation (EU) 2024/795 of the European Parliament and of the Council of 29 February 2024 establishing the Strategic Technologies for Europe Platform (STEP), and amending Directive 2003/87/EC and Regulations (EU) 2021/1058, (EU) 2021/1056, (EU) 2021/1057, (EU) No 1303/2013, (EU) No 223/2014, (EU) 2021/1060, (EU) 2021/523, (EU) 2021/695, (EU) 2021/697 and (EU) 2021/241 (OJ L, 2024/795, 29.2.2024).

⁴ Commission Implementing Decision C(2025) 8719 final of 17.12.2025 on the financing of the European Defence Fund established by Regulation (EU) No 2021/697 of the European Parliament and the Council and the adoption of the work programme for 2026 and amending Commission Implementing Decision C(2025) 568 final on the financing of the European Defence Fund and the adoption of the work programme for 2025 - Part 2.

- legal and financial set-up of the Grant Agreements (section 10)
- how to submit an application (section 11)
- the Online Manual outlines the:
 - procedures to register and submit proposals online via the EU Funding & Tenders Portal ('Portal')
 - recommendations for the preparation of the application
- the AGA — Annotated Grant Agreement contains:
 - detailed annotations on all the provisions in the Grant Agreement you will have to sign in order to obtain the grant (*including cost eligibility, payment schedule, accessory obligations, etc*).

You are also encouraged to visit the [DG DEFIS webpage](#) to consult the list of projects funded previously.

1. Background

The European Defence Fund (EDF) fosters the competitiveness, efficiency and innovation capacity of the European defence technological and industrial base (EDTIB).

It contributes to the EU strategic autonomy and its freedom of action, by supporting collaborative actions and cross-border cooperation between legal entities throughout the Union, in particular SMEs and mid-caps, as well as by strengthening and improving the agility of both defence supply and value chains, widening cross-border cooperation between legal entities and fostering the better exploitation of the industrial potential of innovation, research and technological development, at each stage of the industrial lifecycle of defence products and technologies.

The EDF funds projects which are consistent with the defence capability priorities commonly agreed by EU Member States within the framework of the Common Foreign and Security Policy (CFSP), through:

- collaborative research that could significantly boost the performance of future capabilities, aiming to maximise innovation and introduce new defence products and technologies, including disruptive technologies for defence, and aiming to make the most efficient use of defence research spending in the EU

or

- collaborative development of defence products and technologies, thus contributing to the greater efficiency of defence spending in the EU, achieving greater economies of scale, reducing the risk of unnecessary duplication and thereby fostering the market uptake of European defence products and technologies and reducing the fragmentation of defence products and technologies, ultimately leading to an increase in the standardisation of defence systems and a greater interoperability between Member States' capabilities.

In line with the Work Programme 2026 part 2, this call covers:

- non-thematic topics addressing disruptive research actions dedicated to small and medium-sized enterprises (SME) and research organisations

which will be implemented through lump sum grants.

STEP

The following topics contribute to the objectives of the [Strategic Technologies for Europe Platform \(STEP\)](#):

- EDF-2026-LS-DIS-RA-SMERO-NT

Business coaching

The EDF also has a business coaching component. Successful SME beneficiaries will be offered business coaching, to accelerate their growth and guide them in their business challenges to reach the defence market.

Financial support to third parties

Financial support to third parties (FSTP) may be included as part of any proposal. Beneficiaries opting for FSTP must comply with the conditions set out in Annex 4.

2. Type of action and funding rate — Objectives — Scope and types of activities — Functional requirements — Expected impact — Specific topic conditions

Type of action and funding rate

The topics under this call for proposals concern EDF Lump Sum Grants for Non-thematic Disruptive Actions (LS-DIS).

Lump Sum Grants for non-thematic Disruptive Actions are managed as contributions on the basis of an estimated project budget where each activity will be reimbursed at 100%.

EDF-2026-LS-DIS-RA-SMERO-NT: Non-thematic research actions by SMEs and research organisations

Objectives

This call topic encourages the driving role of innovative SMEs and Research Organisations (RO) in bringing forward innovation defence research, possibly by adapting technologies from civil applications or addressing hybrid warfare.

This call topic contributes to the STEP objectives, as set out in the STEP Regulation⁵, in any of the target investment areas.

⁵ Regulation (EU) 2024/795

Scope and types of activities

The proposals must address innovative technologies and solutions for defence, including those that can improve readiness, deployability, reliability, safety and sustainability of forces in defence tasks and missions, for example in terms of operations, equipment, infrastructure, energy solutions, surveillance systems or digital solutions.

Proposals must address disruptive knowledge, products and technologies in any area of defence interest⁶ reaching at least TRL 4⁷.

In addition, to best complement R&D efforts already targeting civil applications and to encourage the efficient spinning-in of knowledge, innovation and technological development to the defence sector, this topic also welcomes proposals for add-on research actions to adapt solutions originally developed for civilian applications and previously not applied in defence.

If you opt for implementing FSTP, the proposal must describe how FSTP is planned to be used in the project and how entities with relevant expertise are expected to contribute to its implementation.

The following table lists the types of activities which are eligible, and whether they are mandatory or optional (see Article 10(3) EDF Regulation):

Types of activities (Art 10(3) of the EDF Regulation)		Eligible?
(a)	Activities that aim to create, underpin and improve knowledge, products and technologies, including disruptive technologies, which can achieve significant effects in the area of defence (generating knowledge)	Yes
(b)	Activities that aim to increase interoperability and resilience, including secured production and exchange of data, to master critical defence technologies, to strengthen the security of supply or to enable the effective exploitation of results for defence products and technologies (integrating knowledge)	Yes
(c)	Studies, such as feasibility studies to explore the feasibility of new or upgraded products, technologies, processes, services and solutions	Yes

⁶ As described in the two Guidance Notes on the Strategic Technologies for Europe Platform (STEP) – C(2024) 3148 final of 8.5.2024 and C(2025) 6798 of 23.12.2025 available here: [STEP documents - European Union](#).

⁷ The definition of TRLs is shared with other EU programmes, such as Horizon Europe. A reference to this definition is publicly available at <https://horizoneuropencportal.eu/sites/default/files/2022-12/trl-assessment-tool-guide-final.pdf>.

Types of activities (Art 10(3) of the EDF Regulation)		Eligible?
(d)	Design of a defence product, tangible or intangible component or technology as well as the definition of the technical specifications on which such a design has been developed, including any partial test for risk reduction in an industrial or representative environment	Yes
(e)	System prototyping ⁸ of a defence product, tangible or intangible component or technology	No
(f)	Testing of a defence product, tangible or intangible component or technology	No
(g)	Qualification ⁹ of a defence product, tangible or intangible component or technology	No
(h)	Certification ¹⁰ of a defence product, tangible or intangible component or technology	No
(i)	Development of technologies or assets increasing efficiency across the life cycle of defence products and technologies	No

Proposals that include studies must also address at least one additional eligible activity.

The proposals must describe a clear work breakdown structure and link the proposed tasks to eligible activities.

The proposals should include clear descriptions of the proposed criteria to assess work package completion.

The proposals should address one clearly identified product, solution, material or technology which is of interest for defence.

Functional requirements

This call topic is open to technology research for defence in line with STEP target investment areas. The proposals should describe the targeted functionalities and the planned means to measure progress toward the achievements of these functionalities.

⁸ 'System prototype' means a model of a product or technology that can demonstrate performance in an operational environment.

⁹ 'Qualification' means the entire process of demonstrating that the design of the product, component or technology meets the specified requirements, providing objective evidence by which particular requirements of a design are demonstrated to have been met.

¹⁰ 'Certification' means the process by which a national authority certifies that the product, component or technology complies with the applicable regulations.

Expected impact

The outcome of the effort should contribute to:

- developing innovative and cost-effective solutions for defence applications;
- drawing up ground-breaking or novel concepts and approaches, new promising future technological improvements or the application of technologies or concepts previously not applied in the defence sector;
- improving innovation capacity across Europe by involvement of SMEs that can make a difference in the future;

Specific topic conditions

- For this topic, multi-beneficiary applications are mandatory and specific conditions for the consortium composition apply (*see section 6*)
- For this topic, there is a fixed subcontracting limit of 30% and the budget allocated to research organisations (as beneficiaries or affiliated entities) cannot exceed 40% of the total requested grant amount for the project (*see section 10*)
- For this topic, following reimbursement option for equipment costs applies: depreciation only (*see section 10*)
- For this topic, financial support to third parties is allowed, but only within the set ceiling (*see section 10 and Annex 4*)

3. Available budget

The estimated available call budget is EUR 35 000 000.

Specific budget information per topic can be found in the table below:

Topic	Topic budget	Fixed maximum number of projects
1 — EDF-2026-LS-DIS-RA-SMERO-NT	EUR 35 000 000	No

We reserve the right not to award all available funds, depending on the proposals received and the results of the evaluation.

4. Timetable and deadlines

Timetable and deadlines (indicative)	
Call opening:	15 April 2026
<u>Deadline for submission:</u>	<u>29 September 2026 – 17:00:00 CET</u> <u>(Brussels)</u>
Evaluation:	September 2026-March 2027
Information on evaluation results:	March 2027
GA signature ¹¹ :	By 31 December 2027

5. Admissibility and documents

Proposals must be submitted before the call deadline (see *timetable section 4*).

Proposals must be submitted electronically via the Funding & Tenders Portal Electronic Submission System (accessible via the Topic page in the [Calls for proposals](#) section). Paper submissions are NOT possible.

Proposals (including annexes and supporting documents) must be submitted using the forms provided *inside* the Submission System (⚠ NOT the documents available on the Topic page — they are only for information).

Proposals must be complete and contain all the requested information and all required annexes:

- Application Form Part A — contains administrative information about the participants (future coordinator, beneficiaries and affiliated entities) and the summarised budget for the project (*to be filled in directly online*)
- Application Form Part B — contains the technical description of the project (*template to be downloaded from the Portal Submission System, completed, assembled and re-uploaded*)
- mandatory annexes (*templates to be downloaded from the Portal Submission System, completed, assembled and re-uploaded together with Application Form Part B*):
 - detailed budget table/calculator (EDF LS DIS)
 - participant information (including previous projects, if any)
 - list of infrastructure, facilities, assets and resources
 - actual indirect cost methodology declarations (if actual indirect costs used)

¹¹ In case of change in the management mode for a given action (see Section 3 of the EDF Work Programme), this timeframe may be different.

- ownership control declarations (including for associated partners and subcontractors involved in the action)
- PRS declaration (if the project requires access to Galileo PRS information).

 Please note that failing to provide all mandatory annexes in the requested format¹² by the proposal submission deadline may render your proposal inadmissible¹³ (or lead to other negative consequences, such as making the participant concerned ineligible¹⁴ or imply the rejection of one of your requests during grant preparation¹⁵).

Please be aware that since the detailed budget table serves as the basis for fixing the lump sums for the grants (and since lump sums must be reliable proxies for the actual costs of a project), the costs you include MUST comply with the basic eligibility conditions for EU actual cost grants (see [AGA – Annotated Grant Agreement, art 6](#)). This is particularly important for purchases and subcontracting, which must comply with best value for money (or if appropriate the lowest price) and be free of any conflict of interests. If the budget table contains ineligible costs, the grant may be reduced (even later on during the project implementation or after their end).

Please note that the amounts entered into the summarised budget table (filled in directly online) must correspond to the amounts calculated in the detailed budget table. In case of discrepancies, the amounts in the online summarised budget table will prevail.

At proposal submission, you will have to confirm that you have the mandate to act for all applicants. Moreover, you will have to confirm that the information in the application is correct and complete and that all participants comply with the conditions for receiving EU funding (*especially eligibility, financial and operational capacity, exclusion, etc*). Before signing the grant, each beneficiary and affiliated entity will have to confirm this again by signing a declaration of honour (DoH). Proposals without full support will be rejected.

Your application must be readable, accessible and printable (please check carefully the layout of the documents uploaded).

Proposals (Part B) are limited to maximum 50 pages, counting the work package descriptions. Evaluators will not consider any additional pages.

You may be asked at a later stage for further documents (*for legal entity validation, financial capacity check, bank account validation, etc*).

 For more information about the submission process (including IT aspects), consult the [Online Manual](#).

¹² PDF unless another format is specified in the templates.

¹³ See judgment of 18 December 2024, *Institut Jožef Stefan vs European Commission*. T-134/23, EU:T:2024:907, paragraphs 43, 47, 59.

¹⁴ For instance, if an ownership control declaration for a participant is missing, incomplete or not compliant with the instructions, the participant concerned will normally be considered ineligible to participate in the action (including for associated partners and subcontractors involved in the action). However, if several (or all) declarations for the consortium are missing, incomplete or not compliant, this may impact the entire proposal and lead to its inadmissibility as a whole.

¹⁵ For instance, if an actual indirect cost methodology declaration for a participant is missing, incomplete, or not compliant with the instructions, the request to use actual costs will not be granted and the participant concerned will have to use the default flat rate in accordance with Article 15(1) of the EDF Regulation. This will also be the case if several or all declarations for the consortium are missing, incomplete or not compliant.

6. Eligibility

Eligible participants (eligible countries)

In order to be eligible, all applicants (beneficiaries and affiliated entities) must cumulatively:

- be legal entities (public or private bodies)
- be established in one of the eligible countries, i.e.:
 - EU Member States (including overseas countries and territories (OCTs))
 - non-EU countries :
 - listed EEA countries and countries associated to the EDF Programme ('EDF associated countries'; [list of participating countries](#))¹⁶
- have their executive management structure established in eligible countries
- not be subject to control by a non-associated third country or non-associated third-country entity (unless they can provide guarantees – see Annex 2 – approved by the Member State or EDF associated country where they are established)
- be EITHER small and medium-sized enterprises (SMEs) within the meaning of EU Recommendation [2003/361](#)¹⁷ OR research organisations (i.e. non-profit organisations which carry out research and/or technological development as their main objective)
- the coordinator must be an SME.

Beneficiaries and affiliated entities must register in the [Participant Register](#) — before submitting the proposal — and will have to be validated by the Central Validation Service (REA Validation). For the validation, they will be requested to upload documents showing legal status and origin. Other entities may participate in other roles, such as associated partners, subcontractors, third parties giving in-kind contributions, etc (see section 13).

 Please note that for topics that require SME or research organisation status, beneficiaries/affiliated entities are eligible ONLY IF they are registered as SMEs or research organisations in the Participant Register. Therefore, beneficiaries/affiliated entities must, when they register or at the latest by the proposal submission deadline, EITHER declare themselves as SMEs and perform the online SME self-assessment and submit it in the Participant Register, OR, alternatively, declare themselves as research organisations in the Participant Register. SME self-assessments must be based on the financial figures of the last closed accounting period and not older than 31/12/2024. Headcount and turnover must stay below the ceilings for two consecutive accounting periods, otherwise the SME status will be lost. Participants whose SME status changes after registration must update their data in the Participant Register.

 Please also note that, in EDF, subcontractors involved in the action¹⁸ and associated partners must also comply with the above-listed conditions concerning

¹⁶ Participation of entities established in Ukraine is pending the signature of the association agreement to EDF (see countries currently negotiating association agreements below).

¹⁷ Commission Recommendation C(2003) 1422 of 6 May 2003 concerning the definition of micro, small and medium-sized enterprises, OJ L 124, 20.5.2003, p. 36–41.

¹⁸ 'Subcontractors involved in the action' means subcontractors with a direct contractual relationship to a beneficiary or affiliated entity, other subcontractors to which at least 10 % of the total eligible costs of the action are allocated, and subcontractors which may need access to classified information in order to carry out the project.

establishment and control. For this purpose, they must also register in the [Participant Register](#) (draft PIC). Associated partners which are not established in one of the eligible countries (or which are subject to control by a non-associated third country or non-associated third-country entity) may however participate exceptionally if certain conditions are fulfilled (*not contravene EU and MS security and defence interests; consistent with EDF objectives; results not subject to control or restriction by non-associated third countries or non-associated third-country entities; no unauthorised access to classified information; no potential negative effects over security of supply of inputs which are critical for the project*), subject to agreement by the granting authority and without any funding under the grant.

 In case FSTP is foreseen, entities can be recipients of FSTP under the conditions set out in Annex 4.

 Please note that all conditions must in principle be fulfilled already at proposal submission stage (call deadline); you cannot change status during GAP — unless justified and agreed by the granting authority.

 Moreover, be aware that if one or more of the participants do not comply with the eligibility conditions defined above, this may impact the eligibility of the entire proposal.

Specific cases and definitions

Natural persons — Natural persons are NOT eligible (with the exception of self-employed persons, i.e. sole traders, where the company does not have legal personality separate from that of the natural person).

International organisations — International organisations are NOT eligible, unless they are international organisations whose members are exclusively Member States or EDF associated countries and whose executive management structure is in a Member State or EDF associated country.

Entities without legal personality — Entities which do not have legal personality under their national law may exceptionally participate, provided that their representatives have the capacity to undertake legal obligations on their behalf, and offer guarantees for the protection of the EU financial interests equivalent to that offered by legal persons¹⁹.

Associations and interest groupings — Entities composed of members may participate as 'sole beneficiaries' or 'beneficiaries without legal personality'²⁰.  Please note that if the action will be implemented by the members, they should also participate (either as beneficiaries or as affiliated entities, otherwise their costs will NOT be eligible).

Subcontractors involved in the action — Subcontractors with a direct contractual relationship to a recipient (*i.e. beneficiary or affiliated entity*), other subcontractors to which at least 10 % of the total eligible costs of the action is allocated, and subcontractors which may need access to classified information in order to carry out the action.

Countries currently negotiating association agreements — Beneficiaries from countries with ongoing negotiations for participating in the programme (*see list of participating countries above*) may participate in the call and can sign grants if the negotiations are concluded before grant signature and if the association covers the call (i.e. is

¹⁹ See Article 200(2)(c) EU Financial Regulation [2024/2509](#).

²⁰ For the definitions, see Articles 190(2) and 200(2)(c) EU Financial Regulation [2024/2509](#).

retroactive and covers both the part of the programme and the year when the call was launched).

EU restrictive measures — Special rules apply for entities subject to [EU restrictive measures](#) under Article 29 of the Treaty on the European Union (TEU) and Article 215 of the Treaty on the Functioning of the EU (TFEU)²¹. Such entities are not eligible to participate in any capacity, including as beneficiaries, affiliated entities, associated partners, subcontractors or recipients of financial support to third parties (if any).

EU conditionality measures — Special rules apply for entities subject to measures adopted on the basis of EU Regulation 2020/2092²². Such entities are not eligible to participate in any funded role (beneficiaries, affiliated entities, subcontractors, recipients of financial support to third parties, etc). Currently such measures are in place for Hungarian public interest trusts established under the Hungarian Act IX of 2021 or any entity they maintain (see [Council Implementing Decision \(EU\) 2022/2506](#), as of 16 December 2022).

 For more information, see [Rules for Legal Entity Validation, LEAR Appointment and Financial Capacity Assessment](#).

The identity of the applicant (and compliance with general eligibility conditions) will be verified through the documents provided in the [Participant Register](#) during legal entity validation (copy of the resolution, decision or other official document establishing the entity, etc).

Consortium composition

Proposals must be submitted by:

- minimum 3 independent applicants (beneficiaries; not affiliated entities) from 3 different eligible countries
- the partners (beneficiaries and affiliated entities) must be SMEs in the meaning of EU Recommendation [2003/361](#)²³ or research organisations (i.e. non-profit organisations which carry out research and/or technological development as their main objective)
- the budget allocated to research organisations (as beneficiaries or affiliated entities) cannot exceed 40% of the total requested grant amount for the project
- the coordinator must be an SME

Eligible actions and activities

Applications will only be considered eligible if their content corresponds wholly (or at least in part) to the topic description for which they are submitted.

Eligible actions and activities are the ones set out in section 2 above.

²¹ Please note that the EU Official Journal contains the official list and, in case of conflict, its content prevails over that of the [EU Sanctions Map](#).

²² Regulation (EU, Euratom) 2020/2092 of the European Parliament and of the Council of 16 December 2020 on a general regime of conditionality for the protection of the Union budget (OJ L 325, 20.12.2022, p. 94).

²³ Commission Recommendation C(2003) 1422 of 6 May 2003 concerning the definition of micro, small and medium-sized enterprises, OJ L 124, 20.5.2003, p. 36–41.

 Please note that the evaluation will also take into account how the proposals address the 'must', 'should' and 'may' requirements included in the subsections 'Scope and types of activities' and 'Functional requirements'. Failing to address a 'must' may give grounds to consider the proposal out of scope; failing to address a 'should' may give grounds for impacting the scoring negatively; addressing a 'may' may give grounds for impacting the scoring positively.

The following actions and activities are not considered as eligible for funding under this invitation:

- projects that do not implement the objectives set out in Article 3 of the EDF Regulation
- projects that do not concern new defence products or technologies or the upgrade of existing defence products or technologies
- projects that do not relate to at least one of the types of activities set out in Article 10(3) of the EDF Regulation
- projects that do not cover the mandatory types of activities set out in section 2
- projects that concern products and technologies whose use, development or production is prohibited by international law
- projects that concern the development of lethal autonomous weapons without the possibility for meaningful human control over selection and engagement decisions when carrying out strikes against humans (with the exception of the development of early warning systems and countermeasures for defensive purposes).
- projects where background or results:
 - would be subject to control or restriction by a non-associated third country or non-associated third-country entity, directly, or indirectly through one or more intermediate legal entities, including in terms of technology transfer
 - and, for pre-existing information (background), this would impact the results.

Projects should take into account the results of projects supported by other EU funding programmes. The complementarities must be described in the project proposals (Part B of the Application Form).

Projects must comply with EU policy interests and priorities (*such as environment, social, security, industrial and trade policy, etc*). Projects must also respect EU values and European Commission policy regarding reputational matters (*e.g. activities involving capacity building, policy support, awareness raising, communication, dissemination, etc*).

Financial support to third parties is allowed in all topics under this call for grants or similar forms of support under the conditions set out in Annex 4.

Geographic location (target countries)

Proposals must relate to activities taking place in the eligible countries (*see above*).

 Please note that moreover, in EDF, only infrastructure, facilities, assets and resources which are located or held in an eligible country may be used. Other assets,

infrastructure, facilities or resources may be used only exceptionally if certain conditions are fulfilled (*no competitive substitutes are readily available; not contravene EU and MS security and defence interests; consistent with EDF objectives; results not subject to control or restriction by non-associated third countries or non-associated third-country entities*), subject to agreement by the granting authority and without any funding under the grant.

Duration

Project duration:

- between 12 and 36 months

Projects of longer duration may be accepted in duly justified cases. Extensions are possible, if duly justified and through an amendment.

Project budget

Project budgets (requested grant amount):

- must not exceed EUR 5 000 000

This does not however preclude the submission/selection of proposals requesting other amounts. The grant awarded may be lower than the amount requested.

Ethics

Projects must comply with:

- highest ethical standards (including highest standards of research integrity) and
- applicable EU, international and national law.

Proposals under this call will have to undergo an ethics review to authorise funding and may be made subject to specific ethics rules (which become part of the Grant Agreement in the form of ethics deliverables, e.g. *ethics committee opinions/notifications/authorisations required under national or EU law*).

For completing the ethics issues table in the Submission System, see [How to complete your ethics self-assessment](#).

Security

Projects involving classified information must undergo security scrutiny to authorise *funding* and may be made subject to specific security rules (detailed in a security aspects letter (SAL) which is annexed to the Grant Agreement).

Projects where the Member States of the participating beneficiaries and affiliated entities decide to establish a specific security framework under Article 27(4) of the EDF Regulation, will be subject to this specific security framework and classified foreground information (results) generated by the project will be under the originatorship of these Member States.

If no such specific security framework is set up by the signature of the grant agreement, the security rules will be governed by Commission Decision [2015/444](#)²⁴ and its implementing rules²⁵.

These rules provide for instance that:

- projects involving information classified TRES SECRET UE/EU TOP SECRET (or equivalent) can NOT be funded
- classified information must be marked in accordance with the applicable security instructions in the SAL
- information with classification levels CONFIDENTIEL UE/EU CONFIDENTIAL or above (and RESTREINT UE/ EU RESTRICTED, if required by national rules) may be:
 - created or accessed only on premises with facility security clearance (FSC) from the competent national security authority (NSA), in accordance with the national rules
 - handled only in a secured area accredited by the competent NSA
 - accessed and handled only by persons with valid personnel security clearance (PSC) and a need-to-know
- at the end of the grant, the classified information must either be returned or continue to be protected in accordance with the applicable rules
- action tasks involving classified information may be subcontracted only with prior written approval from the granting authority and only to entities established in an EU Member State or in a non-EU country with a security of information agreement with the EU (or an administrative arrangement with the Commission)
- disclosure of classified information to third parties is subject to prior written approval from the granting authority.

Please note that facility security clearance may have to be provided before grant signature. The granting authority will assess the need for clearance in each case and will establish their delivery date during grant preparation. Please note that in no circumstances can we sign any grant agreement until at least one of the beneficiaries in a consortium has facility security clearance.

Further security recommendations may be added to the Grant Agreement in the form of security deliverables (*e.g. create security advisory group, limit level of detail, use fake scenario, exclude use of classified information, etc*).

Beneficiaries must ensure that their projects are not subject to third-country/international organisation security requirements that could affect implementation or put into question the award of the grant (*e.g. technology restrictions, national security classification, etc*). The granting authority must be notified immediately of any potential security issues.



More information on security aspects can be found in Annex 3.

²⁴ See Commission Decision 2015/544/EU, Euratom of 13 March 2015 on the security rules for protecting EU classified information (OJ L 72, 17.3.2015, p. 53).

²⁵ See Article 27(4) EDF Regulation.

7. Financial and operational capacity and exclusion

Financial capacity

Applicants must have stable and sufficient resources to successfully implement the projects and contribute their share. Organisations participating in several projects must have sufficient capacity to implement all projects.

The financial capacity check will be carried out on the basis of the documents you will be requested to upload in the [Participant Register](#) during grant preparation (*e.g. profit and loss account and balance sheet, business plan, audit report produced by an approved external auditor, certifying the accounts for the last closed financial year, etc*). The analysis will be based on neutral financial indicators, but will also take into account other aspects, such as dependency on EU funding and deficit and revenue in previous years.

The check will normally be done for all beneficiaries, except:

- public bodies (entities established as public body under national law, including local, regional or national authorities) or international organisations
- if the individual requested grant amount is not more than EUR 60 000.

If needed, it may also be done for affiliated entities.

If we consider that your financial capacity is not satisfactory, we may require:

- further information
- an enhanced financial responsibility regime, i.e. joint and several responsibility for all beneficiaries or joint and several liability of affiliated entities (*see below, section 10*)
- prefinancing paid in instalments
- (one or more) prefinancing guarantees (*see below, section 10*)

or

- propose no prefinancing
- request that you are replaced or, if needed, reject the entire proposal.

 For more information, see [Rules for Legal Entity Validation, LEAR Appointment and Financial Capacity Assessment](#).

Operational capacity

Applicants must have the know-how, qualifications and resources to successfully implement the projects and contribute their share (including sufficient experience in projects of comparable size and nature).

This capacity will be assessed together with the Implementation' award criterion, on the basis of the competence and experience of the applicants and their project teams, including operational resources (human, technical and other) or, exceptionally, the measures proposed to obtain it by the time the task implementation starts.

If the evaluation of the award criterion is positive, the applicants are considered to have sufficient operational capacity.

Applicants will have to show their capacity via the following information:

- general profiles (qualifications and experiences) of the staff responsible for managing and implementing the project.
- description of the consortium participants (including previous projects, if any).

Additional supporting documents may be requested, if needed to confirm the operational capacity of any applicant.

Public bodies, Member State organisations and international organisations are exempted from the operational capacity check.

Exclusion

Applicants which are subject to an EU exclusion decision or in one of the following exclusion situations that bar them from receiving EU funding can NOT participate²⁶:

- bankruptcy, winding up, affairs administered by the courts, arrangement with creditors, suspended business activities or other similar procedures (including procedures for persons with unlimited liability for the applicant's debts)
- in breach of social security or tax obligations (including if done by persons with unlimited liability for the applicant's debts)
- guilty of grave professional misconduct²⁷ (including if done by persons having powers of representation, decision-making or control, beneficial owners or persons who are essential for the award/implementation of the grant)
- committed fraud, corruption, links to a criminal organisation, money laundering, terrorism-related crimes (including terrorism financing), child labour or human trafficking (including if done by persons having powers of representation, decision-making or control, beneficial owners or persons who are essential for the award/implementation of the grant)
- shown significant deficiencies in complying with main obligations under an EU procurement contract, grant agreement, prize, expert contract, or similar (including if done by persons having powers of representation, decision-making or control, beneficial owners or persons who are essential for the award/implementation of the grant)
- guilty of irregularities within the meaning of Article 1(2) of EU Regulation [2988/95](#) (including if done by persons having powers of representation, decision-making or control, beneficial owners or persons who are essential for the award/implementation of the grant)
- created under a different jurisdiction with the intent to circumvent fiscal, social or other legal obligations in the country of origin or created another entity with this purpose (including if done by persons having powers of representation, decision-making or control, beneficial owners or persons who are essential for the award/implementation of the grant)
- intentionally and without proper justification resisted²⁸ an investigation, check or audit carried out by an EU authorising officer (or their representative or auditor), OLAF, the EPPO, or the European Court of Auditors.

²⁶ See Articles 138 and 143 of EU Financial Regulation [2024/2509](#).

²⁷ 'Professional misconduct' includes, in particular, the following: violation of ethical standards of the profession; wrongful conduct with impact on professional credibility; breach of generally accepted professional ethical standards; false declarations/misrepresentation of information; participation in a cartel or other agreement distorting competition; violation of IPR; attempting to influence decision-making processes by taking advantage, through misrepresentation, of a conflict of interests, or to obtain confidential information from public authorities to gain an advantage; incitement to discrimination, hatred or violence or similar activities contrary to the EU values where negatively affecting or risking to affect the performance of a legal commitment.

Applicants will also be rejected if it turns out that²⁹:

- during the award procedure they misrepresented information required as a condition for participating or failed to supply that information
- they were previously involved in the preparation of the call and this entails a distortion of competition that cannot be remedied otherwise (conflict of interest).

8. Evaluation and award procedure

The proposals will have to follow the standard submission and evaluation procedure (one-stage submission + one-step evaluation).

An evaluation committee (assisted by independent outside experts) will assess all applications. Proposals will first be checked for formal requirements (admissibility, and eligibility, see *sections 5 and 6*). Proposals found admissible and eligible will be evaluated (for each topic) against the operational capacity and award criteria (see *sections 7 and 9*) and then ranked according to their scores.

Cascade approach

Proposals will be evaluated according to the following cascade:

- 1) 'Excellence and potential of disruption'. If a proposal scores less than the minimum threshold under this criterion, the evaluation is stopped (the remaining criteria are neither evaluated nor scored).
- 2) 'Innovation and technological development'. If a proposal scores less than the minimum threshold under this criterion, the evaluation is stopped (the remaining criteria are neither evaluated nor scored).

Priority order for proposals with same scores

For proposals with the same score (within a topic or budget envelope) a priority order will be determined according to the following approach:

Successively for every group of *ex aequo* proposals, starting with the highest scored group, and continuing in descending order:

- 1) Proposals will be prioritised according to the scores they have been awarded for the criterion 'Excellence and potential of disruption'. When these scores are equal, priority will be based on scores for the criterion 'Innovation and technological development'. When these scores are equal, priority will be based on scores for the criterion 'Implementation'.
- 2) If necessary, any further prioritisation will be based on the share of total costs allocated to SMEs and mid-caps in the entire action, share of total costs

²⁸ 'Resisting an investigation, check or audit' means carrying out actions with the goal or effect of preventing, hindering or delaying the conduct of any of the activities needed to perform the investigation, check or audit, such as refusing to grant the necessary access to its premises or any other areas used for business purposes, concealing or refusing to disclose information or providing false information.

²⁹ See Article 143 EU Financial Regulation [2024/2509](#).

allocated to cross-border SMEs and mid-caps³⁰ in the entire action, and number of Member States or EDF associated countries, in which applicants involved in the proposal are established.

Evaluation result and grant preparation

All proposals will be informed about the evaluation result (evaluation result letter). Successful proposals will be invited for grant preparation; the other ones will be put on the reserve list or rejected. Proposals that are eligible and exceed the evaluation thresholds will be awarded a [STEP Seal](#). The validity of this Seal is subject to compliance with all conditions under the above-mentioned topics (*including ownership control assessment and other restrictions, if applicable*). For projects that are not retained for funding under the call, the compliance checks will be done only on request by the entities interested in providing financial support based on the Seal (*e.g. managing authorities of cohesion policy funds*).

 No commitment for funding — Invitation to grant preparation does NOT constitute a formal commitment for funding. We will still need to make various legal checks before grant award: *legal entity validation, financial capacity, exclusion check, etc.*

Grant preparation will involve a dialogue in order to fine-tune technical or financial aspects of the project and may require extra information from your side. It may also include adjustments to the proposal to address recommendations of the evaluation committee or other concerns. Full compliance will be a pre-condition for signing the grant.

If you believe that the evaluation procedure was flawed, you can submit a complaint (following the deadlines and procedures set out in the evaluation result letter). Please note that notifications which have not been opened within 10 days after sending will be considered to have been accessed and that deadlines will be counted from opening/access (see also [Funding & Tenders Portal Terms and Conditions](#)). Please also be aware that for complaints submitted electronically, there may be character limitations.

 For projects where the Commission decides on management by the European Defence Agency (EDA), the Organisation Conjointe de Coopération en Matière d'Armement/Organisation for Joint Armament Co-operation (OCCAR) or another entrusted entity, you will receive the evaluation result letter by us and then be invited to sign the grant with the entrusted entity.

Business coaching

The EDF also has a business coaching component. Successful SME beneficiaries will be offered business coaching, to accelerate their growth and guide them in their business challenges to reach the defence market.

³⁰ In this section, 'cross-border SMEs' and 'mid-caps' refer to SMEs and mid-caps which are established in Member States or EDF associated countries other than those where the legal entities cooperating within the consortium which are not SMEs or mid-caps are established.

9. Award criteria

The award criteria for this call are as follows:

1. Excellence and potential of disruption (5 points)

- Excellence of the overall concept and soundness of the proposed approach for the solution, including main ideas, technologies and methodology
- Compliance of the proposal with the objectives, scope and types of activities, functional requirements and expected impact of the topic as set out in section 2
- Extent to which the objective and expected outcome of the proposed project differs from (and represents an advantage at strategic, technological or defence operational level over) existing defence products or technologies, or has a potential of disruption in the defence domain

2. Innovation and technological development (5 points)

- Extent to which the proposal demonstrates innovation potential and contains ground-breaking or novel concepts and approaches (*e.g. new products, services or business and organizational models*), new promising technological improvements, or the application of technologies or concepts previously not applied in the defence sector
- Integration of existing knowledge and previous or ongoing R&D activities in the defence and/or civil sectors, while avoiding unnecessary duplication
- Extent to which the innovations or technologies developed under the proposal could spin-off to other defence applications and products

3. Implementation (5 points)

- Effectiveness and practicality of the structure of the work plan (work breakdown structure), including timing and inter-relation of the different work packages and their components (illustrated by a Gantt chart, Pert chart or similar)
- Usefulness and comprehensiveness of the milestones and deliverables of the project; coherence and clarity of the criteria for reaching the milestones, which should be measurable, realistic and achievable within the proposed duration
- Appropriateness of the management structures and procedures, including decision-making mechanisms, to the complexity and scale of the project; quality of the risk management, including identification and assessment of the project specific critical risks, which could compromise the achievement of the stated project's objectives and detail of proposed risk treatments (*e.g. mitigation measures*)
- Appropriateness of the allocation of tasks and resources between consortium members, ensuring that all participants have a valid and complementary role; allocation of the work share that ensures a high level of effectiveness and efficiency for carrying out the project.

Award criteria	Minimum pass score	Maximum score	Weighting
Excellence and potential of disruption	4	5	2
Innovation and technological development	3.5	5	2
Implementation	n/a	5	1
Overall weighted (pass) scores	18	25	N / A

Each award criterion will be scored from 0 to 5 (half-points will be allowed) using the following scale:

0 — The proposal fails to address the criterion or cannot be assessed due to missing or incomplete information.

1 — Poor. The criterion is inadequately addressed, or there are serious inherent weaknesses.

2 — Fair. The proposal broadly addresses the criterion, but there are significant weaknesses.

3 — Good. The proposal addresses the criterion well, but a number of shortcomings are present.

4 — Very Good. The proposal addresses the criterion very well, but a small number of shortcomings are present.

5 — Excellent. The proposal successfully addresses all relevant aspects of the criterion. Any shortcomings are minor.

Maximum points: 25 points.

Individual thresholds per criterion: 4/5, 3.5/5 and n/a.

Overall threshold: 18 points.

Proposals that pass the overall threshold will be considered for funding — within the limits of the available budget (i.e. up to the budget ceiling). Other proposals will be rejected.

10. Legal and financial set-up of the Grant Agreements³¹

If you pass evaluation, your project will be invited for grant preparation, where you will be asked to prepare the Grant Agreement together with the EU Project Officer.

This Grant Agreement will set the framework for your grant and its terms and conditions, in particular concerning deliverables, reporting and payments.

The Model Grant Agreement that will be used (and all other relevant templates and guidance documents) can be found on [Portal Reference Documents](#).

³¹ In case of change in the management mode for a given action (see Section 3 of the EDF Work Programme), these rules may be different.

Starting date and project duration

The project starting date and duration will be fixed in the Grant Agreement (*Data Sheet, point 1*). Normally the starting date will be after grant signature. A retroactive starting date can be granted exceptionally for duly justified reasons — but never earlier than the proposal submission date.

Project duration: see *section 6 above*

Milestones and deliverables

The milestones and deliverables for each project will be managed through the Portal Grant Management System and will be reflected in Annex 1 of the Grant Agreement.

The following deliverables will be mandatory for all projects:

- progress reports (every 6 to 12 months, to be agreed during grant agreement preparation)
- a special report³²

Form of grant, funding rate and maximum grant amount

The grant parameters (*maximum grant amount, funding rate, total eligible costs, etc*) will be fixed in the Grant Agreement (*Data Sheet, point 3 and art 5*).

Project budget (requested grant amount): see *section 6 above*.

The grant will be a lump sum grant. This means that it will reimburse a fixed amount, based on a lump sum or financing not linked to costs. The amount will be fixed by the granting authority on the basis of the estimated project budget and funding rates that depend on the type of activities and participants (see *section 2*).

Budget categories and cost eligibility rules

The budget categories and cost eligibility rules are fixed in the Grant Agreement (*Data Sheet, point 3, art 6 and Annex 2*).

Budget categories for this call:

- Lump sum contributions³³

Specific cost eligibility rules for this call:

- the lump sum amount must be calculated in accordance with the methodology set out in the lump sum authorising decision and using the detailed budget table/calculator provided (if any)
- the lump sum calculation should respect the following conditions:
 - for lump sums based on estimated project budgets: the estimated budget must comply with the basic eligibility conditions for EU actual cost grants (see [AGA — Annotated Grant Agreement, art 6](#)), in particular:

³² 'Special report' means a specific deliverable of a research action summarising its results, providing extensive information on the basic principles, the aims, the outcomes, the basic properties, the tests performed, the potential benefits, the potential defence applications and the expected exploitation path of the research towards development, including information on the ownership of IPRs but not requiring the inclusion of IPR information (see art 2(23) EDF Regulation).

³³ [Decision](#) of 30 November 2021 authorising the use of lump sums for specific actions under the European Defence Fund.

- personnel costs:
 - average personnel costs (unit cost according to usual cost accounting practices)³⁴: Yes
 - SME owner/natural person unit cost³⁵: Yes
- subcontracting costs:
 - subcontracting limit:
 - subcontracting is limited to 30% of the total eligible costs for each beneficiary and affiliated entity; subcontracting costs above 30% will lead to the rejection of the proposal (or grant reduction later on)
 - country restrictions for subcontracting costs: Yes, subcontracted work must be performed in the eligible countries
- travel and subsistence unit cost³⁶: No (only actual costs)
- equipment costs:
 - depreciation
- other cost categories:
 - costs for financial support to third parties (FSTP): allowed for all topics, for grants or similar:
 - maximum amount per third party EUR 60 000
 - internally invoiced goods and services (unit cost according to usual cost accounting practices)³⁷: Yes
- indirect cost:
 - flat-rate: 25% of the eligible direct costs (categories A-D, except subcontracting costs, financial support to third parties and exempted specific cost categories, i.e. internally invoiced goods and services and PCP procurement costs)

or

 - actual costs

 The indirect cost method selected will be fixed for the project and cannot be changed later on.
- VAT: non-deductible/non-refundable VAT is eligible (but please note that since 2013 VAT paid by beneficiaries that are public bodies acting as public authority is NOT eligible)
- other:

³⁴ [Decision](#) of 27 February 2023 authorising the use of unit costs for staff costs and costs for internally invoiced goods and services for specific actions under the European Defence Programme.

³⁵ Commission [Decision](#) of 20 October 2020 authorising the use of unit costs for the personnel costs of the owners of small and medium-sized enterprises and beneficiaries that are natural persons not receiving a salary for the work carried out by themselves under an action or work programme (C(2020)7715).

³⁶ Commission [Decision](#) of 12 January 2021 authorising the use of unit costs for travel, accommodation and subsistence costs under an action or work programme under the 2021-2027 multi-annual financial framework (C(2021)35).

³⁷ [Decision](#) of 27 February 2023 authorising the use of unit costs for staff costs and costs for internally invoiced goods and services for specific actions under the European Defence Programme.

- in-kind contributions for free are allowed, but cost-neutral, i.e. they cannot be declared as cost
- kick-off meeting: costs for kick-off meeting organised by the granting authority are eligible (travel costs for maximum 2 persons, return ticket to Brussels and accommodation for one night) only if the meeting takes place after the project starting date set out in the Grant Agreement; the starting date can be changed through an amendment, if needed
- project websites: communication costs for presenting the project on the participants' websites or social media accounts are eligible; costs for *separate* project websites are not eligible
- eligible cost country restrictions: Yes, only costs for activities carried out in eligible countries are eligible
- the budget allocated to research organisations (as beneficiaries or affiliated entities) cannot exceed 40% of the total requested grant amount for the project
- other ineligible costs: Yes, costs related to the use of assets, infrastructure, facilities or resources located or held outside the eligible countries are not eligible (even if their use was authorised, *see section 6*)
- the lump sum breakdown must comply with the following:
 - the types of activity (*see section 2*) may be broken down into several work packages
 - a work package must cover one type of activity only
 - the funding rate to be used for WP 1 — Project management and coordination must be the one for the type of activity (c) Studies.
- other:
 - ...

Reporting and payment arrangements

The reporting and payment arrangements are fixed in the Grant Agreement (*Data Sheet, point 4 and art 21 and 22*).

After grant signature, you will normally receive a prefinancing to start working on the project (float of normally 55 % of the maximum grant amount; exceptionally less or no prefinancing). The prefinancing will be paid 30 days from entry into force/starting date/financial guarantee (if required) — whichever is the latest.

For projects of more than 18 months, there may be one or more additional prefinancing payments linked to a prefinancing report and one or more interim payments.

In addition, you may be requested to submit one or more progress reports not linked to payments.

Payment of the balance: At the end of the project, we will calculate your final grant amount. If the total of earlier payments is higher than the final grant amount, we will ask you (your coordinator) to pay back the difference (recovery).

All payments will be made to the coordinator.

 Please be aware that payments will be automatically lowered if you or one of your consortium members has outstanding debts towards the EU (granting authority or other EU bodies). Such debts will be offset by us — in line with the conditions set out in the Grant Agreement (see *art 22*).

Please also note that you are responsible for keeping records on all the work done.

Prefinancing guarantees

If a prefinancing guarantee is required, it will be fixed in the Grant Agreement (*Data Sheet, point 4*). The amount will be set during grant preparation and it will normally be equal or lower than the prefinancing for your grant.

The guarantee should be in euro and issued by an approved bank/financial institution established in an EU Member State. If you are established in a non-EU country and would like to provide a guarantee from a bank/financial institution in your country, please contact us (this may be exceptionally accepted, if it offers equivalent security).

Amounts blocked in bank accounts will NOT be accepted as financial guarantees.

Prefinancing guarantees are normally requested from the coordinator, for the consortium. They must be provided during grant preparation, in time to make the prefinancing (scanned copy via Portal AND original by post).

If agreed with us, the bank guarantee may be replaced by a guarantee from a third party.

The guarantee will be released at the end of the grant, in accordance with the conditions laid down in the Grant Agreement (*art 23*).

Certificates

Depending on the type of action, size of grant amount and type of beneficiaries, you may be requested to submit different certificates. The types, schedules and thresholds for each certificate are fixed in the Grant Agreement (*Data Sheet, point 4 and art 24*).

Liability regime for recoveries

The liability regime for recoveries will be fixed in the Grant Agreement (*Data Sheet, point 4.4 and art 22*).

For beneficiaries, it is normally:

- limited joint and several liability with individual ceilings — *each beneficiary up to their maximum grant amount*.

In addition, the granting authority may require joint and several liability of affiliated entities (with their beneficiary).

Provisions concerning the project implementation

Security rules: see *Model Grant Agreement (art 13 and Annex 5)*

- specific national security framework under Article 27(4) of the EDF Regulation: Yes

Ethics rules: see *Model Grant Agreement (art 14 and Annex 5)*

- specific ethics rules in Annex 5: Yes

IPR rules: *see Model Grant Agreement (art 16 and Annex 5)*:

- list of background and background free from restrictions: Yes
- results free from restrictions: Yes
- ownership of results: Yes
- protection of results: Yes
- transfer and licensing of results: Yes
- rights of use on results: Yes
- for EDF Research Actions: access to results for policy purposes: Yes
- for EDF Research Actions: access to special report: Yes
- for EDF Research Actions: access rights to further develop results: Yes

Communication, dissemination and visibility of funding: *see Model Grant Agreement (art 17 and Annex 5)*:

- additional communication and dissemination activities: Yes

Specific rules for carrying out the action: *see Model Grant Agreement (art 18 and Annex 5)*:

- specific rules for EDF actions: Yes
- specific rules for ASAP actions: No
- specific rules for EDIRPA actions: No
- specific rules for EDF PCP Grants for Procurement: No
- place of performance obligation for EDF PCP Grants for Procurement: No
- specific rules for EDF Grants for Financial Support: No
- specific rules for blending operations: No

Other specificities

Consortium agreement

Consortium agreement: Yes

Intra-EU transfer of defence-related products

If the implementation of the action requires an intra-EU transfer of defence-related products³⁸ used or generated by the action, the beneficiaries remain fully responsible to plan and implement their action in a way that ensures the exercise of the rights by the granting authority/other EU bodies, in accordance with the Grant Agreement. This

³⁸ Listed in the [Common Military List of the EU](#) and in the Annex to Directive [2009/43](#) and falling under the export or transfer control of national authorities.

includes the possible transfer of defence-related products by the beneficiaries to other EU bodies for checks, reviews, audits and investigations.

Considering the granting authority's obligations towards other EU institutions and bodies, transfers may also be necessary in the framework of audits performed, for instance, by the European Court of Auditors (ECA). In such a circumstance, the Commission would duly inform the relevant competent national authorities about the list of the concerned defence-related information prior to the transfer.

 Please note that the granting authority will not re-transfer defence-related products to any other third parties, unless explicitly authorised in writing by the competent national authorities.

When implementing the Grant Agreement, entities involved in the action³⁹ may need to swiftly transfer defence-related products amongst themselves (transfers within the consortium). Any such transfer should be in accordance with the consortium agreement, which can contribute to limiting the need for end-user certificate(s) (EUC), to the maximum extent possible.

When signing the consortium agreement, beneficiaries are strongly advised to agree to be collectively considered as the 'end-user' of any defence-related products used or generated by the action, committing that the latter will not be re-transferred/re-exported beyond the entities involved in the action. This will ensure that the initial national authorisation for the transfer/export of a specific product under this Grant Agreement will allow the re-transfer(s) of that product between partners involved in the action without the need to request an additional EUC. Additionally, if not already covered by the consortium agreement, beneficiaries should reflect such commitment in their contractual agreements with their affiliated entities or subcontractors involved in the action, so all entities involved in the action are covered.

Should the national control authority consider this commitment insufficient for a specific product, it may still request additional EUC by the receiving entities involved in the action.

Non-compliance and breach of contract

The Grant Agreement (chapter 5) provides for the measures we may take in case of breach of contract (and other non-compliance issues).

 For more information, see [AGA – Annotated Grant Agreement](#).

11. How to submit an application

All proposals must be submitted directly online via the Funding & Tenders Portal Electronic Submission System. Paper applications are NOT accepted.

Submission is a 2-step process:

a) create a user account and register your organisation

To use the Submission System (the only way to apply), all participants need to [create an EU Login user account](#).

³⁹ 'Entities involved in the action' are understood as beneficiaries, affiliates entities, subcontractors involved in the action.

Once you have an EULogin account, you can [register your organisation](#) in the Participant Register. When your registration is finalised, you will receive a 9-digit participant identification code (PIC).

b) submit the proposal

Access the Electronic Submission System via the Topic page in the [Calls for proposals](#) section (or, for calls sent by invitation to submit a proposal, through the link provided in the invitation letter).

Submit your proposal in 2 parts, as follows:

- Part A includes administrative information about the applicant organisations (future coordinator, beneficiaries, affiliated entities and associated partners) and the summarised budget for the proposal. Fill it in directly online
- Part B and Annexes through a password-protected single zip archive:
 - Part B (description of the action) covers the technical content of the proposal. Download the mandatory word template from the Submission System, fill it in and add to the zip archive as a PDF
 - Annexes (see *section 5*). Download the templates, and add to zip archive as PDFs (— unless other format specified).

The zip archive must be submitted password-protected (using AES-256 encryption method), with a size of less than 100 MB. The password (and any other passwords used in the documents) must be communicated before the deadline for submission to the following email address: DEFIS-EDF-PROPOSALS-PWD@ec.europa.eu (together with the proposal ID and the name of the zip archive).

 If your proposal includes classified information, please contact us at DEFIS-EDF-PROPOSALS@ec.europa.eu — well in time before the deadline, in order to arrange the delivery of the classified documents. Please be aware that such documents MUST NOT under any circumstances be submitted online through the Funding & Tenders Portal.

The proposal must keep to the page limits (see *section 5*); excess pages will be disregarded.

Documents must be uploaded to the right category in the Submission System, otherwise the proposal may be considered incomplete and thus inadmissible.

The proposal must be submitted before the call deadline (see *section 4*). After this deadline, the system is closed and proposals can no longer be submitted.

Once the proposal is submitted, you will receive a confirmation e-mail (with date and time of your application). If you do not receive this confirmation e-mail, it means your proposal has NOT been submitted. If you believe this is due to a fault in the Submission System, you should immediately file a complaint via the [IT Helpdesk webform](#), explaining the circumstances and attaching a copy of the proposal (and, if possible, screenshots to show what happened).

Details on processes and procedures are described in the [Online Manual](#). The Online Manual also contains the links to FAQs and detailed instructions regarding the Portal Electronic Exchange System.

Proposal category selection

 Note that you have to choose an obligatory category best describing your proposal before submitting the proposal. This category, corresponding to EDF programme categories, is used by the European Commission for proposal classification during the evaluation, it has no effect on proposal selection.

- MCBRN: Defence medical response, Chemical Biological Radiological Nuclear, biotech and human factors
- C4ISR/SENS/DIGIT/CYBER/SIMTRAIN: Information superiority, Advanced passive and active sensors, Cyber, Digital transformation, Simulation and training
- SPACE: Space
- ENEREV/MATCOMP: Energy resilience and environmental transition, Materials and components
- AIR/AIRDEF: Air combat, Air and missile defence
- GROUND/PROTMOB: Ground combat, Force protection and mobility
- NAVAL/UWW: Naval combat, Underwater warfare

12. Help

As far as possible, *please try to find the answers you need yourself*, in this and the other documentation (we have limited resources for handling direct enquiries):

- [Online Manual](#)
- Topic Q&A on the Topic page (for call-specific questions in open calls; not applicable for actions by invitation)
- [Portal FAQ](#) (for general questions).

Please also consult the Topic page regularly, since we will use it to publish call updates. (For invitations, we will contact you directly in case of a call update).

Contact

For individual questions on the Portal Submission System, please contact the [IT Helpdesk](#).

Non-IT related questions should be sent to the following email address: DEFIS-EDF-PROPOSALS@ec.europa.eu.

Please indicate clearly the reference of the call and topic to which your question relates (see cover page).

13. Important



IMPORTANT

- **Don't wait** until the end — Complete your application sufficiently in advance of the deadline to avoid any last minute technical problems. Problems due to last minute submissions (*e.g. congestion, etc*) will be entirely at your risk. Call deadlines can NOT be extended.
- Consult the Portal Topic page regularly. We will use it to publish updates and additional information on the call (call and topic updates).
- Funding & Tenders Portal Electronic Exchange System — By submitting the application, all participants accept to use the electronic exchange system in accordance with the [Portal Terms & Conditions](#).

- Registration — Before submitting the application, all beneficiaries, affiliated entities, associated partners must be registered in the [Participant Register](#). The draft participant identification code (PIC) (one per participant) is mandatory for the Application Form.

If your project applies for the SME/Mid-cap bonuses, registration (draft PIC and SME self-assessment wizard) is also mandatory for all participants claiming SME/Mid-cap status (beneficiaries, affiliated entities and subcontractors involved in the action; see section 2).

Moreover, registration (draft PIC) is required for entities that must submit an ownership control assessment declaration (beneficiaries, affiliated entities, subcontractors involved in the action and associated partners).

- Consortium roles — When setting up your consortium, you should think of organisations that help you reach objectives and solve problems.

The roles should be attributed according to the level of participation in the project. Main participants should participate as beneficiaries or affiliated entities; other entities can participate as associated partners, subcontractors, third parties giving in-kind contributions. Associated partners and third parties giving in-kind contributions should bear their own costs (they will not become formal recipients of EU funding). Subcontracting should normally constitute a limited part and must be performed by third parties (not by one of the beneficiaries/affiliated entities). Subcontracting going beyond 30% of the total eligible costs per beneficiary/affiliated entity must be justified in the application and may be accepted by the granting authority if the topic is not subject to a fixed subcontracting limit (see section 10).

- Coordinator — In multi-beneficiary grants, the beneficiaries participate as consortium (group of beneficiaries). They will have to choose a coordinator, who will take care of the project management and coordination and will represent the consortium towards the granting authority. In mono-beneficiary grants, the single beneficiary will automatically be coordinator.
- Affiliated entities — Applicants may participate with affiliated entities (i.e. entities linked to a beneficiary which participate in the action with similar rights and obligations as the beneficiaries, but do not sign the grant and therefore do not become beneficiaries themselves). They will get a part of the grant money and must therefore comply with all the call conditions and be validated (just like beneficiaries); but they do not count towards the minimum eligibility criteria for consortium composition (if any). If affiliated entities participate in your project, please do not forget to provide documents demonstrating their affiliation link to your organisation as part of your application.
- Associated partners — Applicants may participate with associated partners (i.e. partner organisations which participate in the action but without the right to get grant money). They participate without funding and therefore do not need to be validated.

- Consortium agreement — For practical and legal reasons it is recommended to set up internal arrangements that allow you to deal with exceptional or unforeseen circumstances (in all cases, even if not mandatory under the Grant Agreement). The consortium agreement also gives you the possibility to redistribute the grant money according to your own consortium-internal principles and parameters (for instance, one beneficiary can reattribute its grant money to another beneficiary). The consortium agreement thus allows you to customise the EU grant to the needs inside your consortium and can also help to protect you in case of disputes.
- Balanced project budget — Grant applications must ensure a balanced project budget and sufficient other resources to implement the project successfully (*e.g. own contributions, income generated by the action, financial contributions from third parties, etc*). You may be requested to lower your estimated costs, if they are ineligible (including excessive).
- Completed/ongoing projects — Proposals for projects that have already been completed will be rejected; proposals for projects that have already started will be assessed on a case-by-case basis (in this case, no costs can be reimbursed for activities that took place before the project starting date/proposal submission).
- No-profit rule — Grants may in principle NOT give a profit (i.e. surplus of revenues + EU grant over costs). Where the no-profit rule is activated in the Grant Agreement, this will be checked by us at the end of the project.
- No cumulation of funding/no double funding — It is strictly prohibited to cumulate funding from the EU budget (except under 'EU Synergies actions'). Outside such Synergies actions, any given action may receive only ONE grant from the EU budget and cost items may under NO circumstances be declared under two EU grants; projects must be designed as different actions, clearly delineated and separated for each grant (without overlaps).
- Combination with EU operating grants — Combination with EU operating grants is possible, if the project remains outside the operating grant work programme and you make sure that cost items are clearly separated in your accounting and NOT declared twice (see [AGA — Annotated Grant Agreement, art 6.2.E](#)).
- Multiple proposals — Applicants may submit more than one proposal for *different* projects under the same call (and be awarded funding for them).
 Organisations may participate in several proposals.
 BUT: if there are several proposals for *very similar* projects, only one application will be accepted and evaluated; the applicants will be asked to withdraw the others (or they will be rejected).
- Resubmission — Proposals may be changed and re-submitted until the deadline for submission.
- Rejection — By submitting the application, all applicants accept the call conditions set out in this Call document (and the documents it refers to). Proposals that do not comply with all the call conditions will be rejected. This applies also to applicants: All applicants need to fulfil the criteria; if any one of them doesn't, it must be replaced or the entire proposal will be rejected.
- Cancellation — There may be circumstances which may require the cancellation of the call. In this case, you will be informed via a call or topic update. Please note that cancellations are without entitlement to compensation.
- Language — You can submit your proposal in any official EU language (project abstract/summary should however always be in English). For reasons of efficiency, we strongly advise you to use English for the entire application. If you need the call documentation in another official EU language, please submit a request within 10 days after call publication (for the contact information, see section 12).

- Transparency — In accordance with Article 38 of the [EU Financial Regulation](#), information about EU grants awarded is published each year on the [Europa website](#).

This includes:

- beneficiary names
- beneficiary addresses
- the purpose for which the grant was awarded
- the maximum amount awarded.

The publication can exceptionally be waived (on reasoned and duly substantiated request), if there is a risk that the disclosure could jeopardise your rights and freedoms under the EU Charter of Fundamental Rights or harm your commercial interests.

- Data protection — The submission of a proposal under this call involves the collection, use and processing of personal data. This data will be processed in accordance with the applicable legal framework. It will be processed solely for the purpose of evaluating your proposal, subsequent management of your grant and, if needed, programme monitoring, evaluation and communication. Details are explained in the [Funding & Tenders Portal Privacy Statement](#).

Annex 1

EDF types of action

EDF uses the following actions to implement grants:

Research Actions

Description: Research Actions (RA) target activities consisting primarily of research activities, in particular applied research and where necessary fundamental research, with the aim of acquiring new knowledge and with an exclusive focus on defence applications.

Funding rate: 100%

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — final payment

Development Actions

Description: Development Actions (DA) target activities consisting of defence-oriented activities primarily in the development phase, covering new defence products or technologies or the upgrading of existing ones, excluding the production or use of weapon.

Funding rate: variable per activity (rates depend on activity and bonuses for SME and mid-cap participation and PESCO)

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — final payment

PCP Grants for Procurement

Description: PCP Grants for Procurement (PCP) target activities that aim to help a transnational buyers' group to strengthen the public procurement of research, development, validation and, possibly, the first deployment of new solutions that can significantly improve quality and efficiency in areas of public interest, while opening market opportunities for industry and researchers active in Europe. Eligible activities include the preparation, management and follow-up, under the coordination of a lead procurer, of one joint PCP and additional activities to embed the PCP into a wider set of demand-side activities.

Funding rate: variable (to be defined in the work programme)%

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — payment of the balance

Lump Sum Grants for Research Actions

Description: Lump Sum Grants (LS-RA) reimburse a general lump sum for the entire project and the consortium as a whole. The lump sum is fixed ex-ante (at the latest at grant signature) on the basis of a methodology defined by the granting authority (either on the basis of a detailed project budget or other pre-defined parameters). The lump sum will cover all the beneficiaries' direct and indirect costs for the project. The beneficiaries do not need to report actual costs, they just need to claim the lump sum once the work is done. If the action is not properly implemented, only part of the lump sum will be paid.

Lump Sum Grants for Research Actions cover the same type of activities as Research Actions and follow — where relevant — similar rules (*e.g. for funding rates, etc.*).

Funding rate: 100%

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — final payment

Lump Sum Grants for Development Actions

Description: Lump Sum Grants (LS-DA) reimburse a general lump sum for the entire project and the consortium as a whole. The lump sum is fixed ex-ante (at the latest at grant signature) on the basis of a methodology defined by the granting authority (either on the basis of a detailed project budget or other pre-defined parameters). The lump sum will cover all the beneficiaries' direct and indirect costs for the project. The beneficiaries do not need to report actual costs, they just need to claim the lump sum once the work is done. If the action is not properly implemented, only part of the lump sum will be paid.

Lump Sum Grants for Development Actions cover the same type of activities as Development Actions and follow — where relevant — similar rules (*e.g. for funding rates, etc*).

Funding rate: variable per activity (rates depend on activity and bonuses for SME and mid-cap participation and PESCO)

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — final payment

Lump Sum Grants for Non-thematic Disruptive Actions

Description: Lump Sum Grants (LS-DIS) reimburse a general lump sum for the entire project and the consortium as a whole. The lump sum is fixed ex-ante (at the latest at grant signature) on the basis of a methodology defined by the granting authority (either on the basis of a detailed project budget or other pre-defined parameters). The lump sum will cover all the beneficiaries' direct and indirect costs for the project. The beneficiaries do not need to report actual costs, they just need to claim the lump sum once the work is done. If the action is not properly implemented, only part of the lump sum will be paid.

Funding rate: 100%

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — final payment

Framework Partnerships (FPAs) and Specific Grants (SGAs)

FPAs

Description: FPAs establish a long-term cooperation mechanism between the granting authority and the beneficiaries of grants. The FPA specifies the common objectives (action plan) and the procedure for awarding specific grants. The specific grants are awarded via identified beneficiary actions (with or without competition).

Funding rate: no funding for FPA

SGAs

Description: The SGAs are linked to an FPA and implement the action plan (or part of it). They are awarded via an invitation to submit a proposal (identified beneficiary action). The consortium composition should in principle match (meaning that only entities that are part of the FPA can participate in an SGA), but otherwise the implementation is rather flexible. FPAs and SGAs can have different coordinators;

other partners of the FPA are free to participate in an SGA or not. There is no limit to the amount of SGAs signed under one FPA.

Funding rate: depending on the type: 100% or variable per activity

Payment model: Prefinancing — (x) additional prefinancing payment(s) — (x) interim payment(s) — final payment

Annex 2

Guarantees pursuant to Article 9(4) of the EDF Regulation

All calls under the EDF Programme are subject to ownership control restrictions, meaning that they exclude the participation of legal entities which are established in the EU territory or in an EDF associated country, but are controlled by a non-associated third country or non-associated third country legal entity.

Thus, for the purposes of participating in EDF actions, beneficiaries, affiliated entities and subcontractors involved in the action must not be subject to control by a non-associated third country or non-associated third-country entity and undergo an ownership control assessment procedure before grant signature ([template](#)*) .

Entities that do not comply with this requirement may however exceptionally nevertheless participate, if they can provide guarantees approved by the Member State/EDF associated country in which they are established. Such guarantees must be provided at the latest by grant signature.

The guarantees ([template](#)*) must provide assurance to the granting authority that the participation of the entity will not contravene the security and defence interests of the EU and its Member States as established in the framework of the Common Foreign and Security Policy (CFSP) pursuant to Title V of the TEU, or the objectives set out in Article 3 of the EDF Regulation. They must also comply with the provisions on ownership and intellectual property rights (Articles 20 and 23 of the EDF Regulation).

They must in particular substantiate that, for the purposes of the action, measures are in place to ensure that:

- control over the legal entity is not exercised in a manner that would restrain or restrict its ability to carry out the action and to deliver results, that would impose restrictions concerning its infrastructure, facilities, assets, resources, intellectual property or knowhow needed for the purposes of the action, or that would undermine its capabilities and standards necessary to carry out the action
- access by a non-associated third country or non-associated third-country entity to sensitive information relating to the action is prevented and the employees or other persons involved in the action have national security clearance issued by a Member State or an EDF associated country, where appropriate
- ownership of the intellectual property arising from, and the results of, the action remain within the beneficiary or affiliated entity during and after completion of the action, are not subject to control or restriction by a non-associated third country or non-associated third-country entity, and are neither exported outside the EU/EDF associated countries nor accessible from outside the EU/EDF associated countries without the approval of the Member State/EDF associated country in which the legal entity is established and in accordance with the objectives set out in Article 3 of the EDF Regulation.

The guarantees may refer to the fact that the legal entity's executive management structure is established in the EU/EDF associated country or, if considered appropriate, to specific governmental rights in the control over the legal entity.

If considered appropriate by the Member State/EDF associated country, additional guarantees may be provided.

 For more information, see also [*Guidance on participation in EU restricted calls with ownership and control restrictions*](#)^{*}.

Annex 3

Security aspects

Introduction

Pursuant to Article 27(4) of the EDF Regulation, in case the implementation of the grant involves the handling of classified information, Member States on whose territory the beneficiaries and affiliated entities are established must decide on the originatorship of the classified foreground information (results) generated in the performance of the project. For that purpose, those Member States may decide on a specific security framework for the protection and handling of classified information relating to the project and must inform the granting authority. Such a security framework must be without prejudice to the possibility for the granting authority to have access to necessary information for the implementation of the action.

If no such specific security framework is set up by those Member States, the security framework will be put in place by the granting authority in accordance with Decision 2015/444

In either case, the security framework will be put in place at the latest by the signature of the Grant Agreement.

The applicable security framework will be detailed in the security aspect letter (SAL) which will be annexed to the Grant Agreement.

When you implement a classified grant, please bear in mind the following key rules.

Access to classified information

The creation, handling or access to information classified CONFIDENTIAL or SECRET (or RESTRICTED where required by national rules) on the premises of a participant is only possible if a valid Facility Security Clearance (FSC) at the appropriate level exists for the premises. This FSC must be granted by the National Security Authority (NSA/DSA) of the participant concerned.

The participant must hold a duly confirmed FSC at the appropriate level. Until a secured area is in place and accredited by the national NSA, the handling of classified information above RESTRICTED level on their premises is not allowed.

Access to and handling of classified information for the purposes of the project must be limited to individuals with a need-to-know and which are in possession of a valid personnel security clearance.

At the end of the Grant Agreement when EUCI is no longer required for the performance of the grant, the participant must return any EUCI they hold to the contracting authority immediately. If authorised to retain EUCI after the end of the grant, the EUCI must continue to be protected in accordance with Decision 2015/444.

Marking of classified information

Classified information generated for the performance of the action must be marked in accordance with the applicable security framework, as described in the SAL.

Grants must not involve information classified 'TRES SECRET UE/EU TOP SECRET' or any equivalent classification.

Other provisions

Where a participant has awarded a classified subcontract, the security provisions of the grant agreement must apply *mutatis mutandis* to the subcontractor(s) and their personnel. In such case, it is the responsibility of the participant to ensure that all subcontractors apply these principles to their own subcontracting arrangements.

All security breaches related to classified information will be investigated by the competent security authority and may lead to criminal prosecution under national law.

Table of equivalent security classification markings

	Secret	Confidential	Restricted
EU	SECRET SECRET UE/EU	CONFIDENTIEL UE/EU CONFIDENTIAL	RESTREINT UE/EU RESTRICTED
Austria	GEHEIM	VERTRAULICH	EINGESCHRÄNKT
Belgium	SECRET (Loi du 11 Dec 1998) or GEHEIM (Wet van 11 Dec 1998)	CONFIDENTIEL (Loi du 11 Dec 1998) or VERTROUWELIJK (Wet van 11 Dec 1998)	(Note 1, see below)
Bulgaria	СЕКРЕТНО	ПОВЕРИТЕЛНО	ЗА СЛУЖЕБНО ПОЛЗВАНЕ
Croatia	TAJNO	POVJERLJIVO	OGRANIČENO
Cyprus	ΑΠΟΡΡΗΤΟ ABR:(ΑΠ)	ΕΜΠΙΣΤΕΥΤΙΚΟ ABR:(ΕΜ)	ΠΕΡΙΟΡΙΣΜΕΝΗΣ ΧΡΗΣΗΣ ABR:(ΠΧ)
Czech Republic	TAJNĚ	DŮVĚRNĚ	VYHRAZENĚ
Denmark	HEMMELIGT	FORTROLIGT	TIL TJENESTEBRUG
Estonia	SALAJANE	KONFIDENTSIAALNE	PIIRATUD
Finland	SALAINEN or HEMLIG	LUOTTAMUKSELLINEN or KONFIDENTIELL	KÄYTTÖ RAJOITETTU or BEGRÄNSAD TILLGÅNG

France	SECRET SECRET DÉFENSE (Note 2, see below)	CONFIDENTIEL DÉFENSE (Notes 2 and 3, see below)	(Note 4, see below)
Germany (Note 5, see below)	GEHEIM	VS - VERTRAULICH	VS - NUR FÜR DEN DIENSTGEBRAUCH
Greece	ΑΠΟΡΡΗΤΟ ABR:(ΑΠ)	ΕΜΠΙΣΤΕΥΤΙΚΟ ABR:(ΕΜ)	ΠΕΡΙΟΡΙΣΜΕΝΗΣ ΧΡΗΣΗΣ ABR:(ΠΧ)
Hungary	TITKOS!	BIZALMAS!	KORLÁTOZOTT TERJESZTÉSŰ!
Ireland	SECRET	CONFIDENTIAL	RESTRICTED
Italy	SEGRETO	RISERVATISSIMO	RISERVATO
Latvia	SLEPENI	KONFIDENCIĀLI	DIENESTA VAJADZĪBĀM
Lithuania	SLAPTAI	KONFIDENCIALIAI	RIBOTO NAUDOJIMO
Luxembourg	SECRET LUX	CONFIDENTIEL LUX	RESTREINT LUX
Malta	SIGRIET	KUNFIDENZJALI	RISTRETT
Netherlands	Stg. GEHEIM	Stg. CONFIDENTIEEL	Dep. VERTROUWELIJK
Poland	TAJNE	POUFNE	ZASTRZEŻONE
Portugal	SEGRETO	CONFIDENCIAL	RESERVADO (Note 6, see below)
Romania	STRICT SECRET	SECRET	SECRET DE SERVICIU
Slovakia	TAJNÉ	DÔVERNÉ	VYHRADENÉ
Slovenia	TAJNO	ZAUPNO	INTERNO
Spain	RESERVADO (Note 6, see below)	CONFIDENCIAL	DIFUSIÓN LIMITADA

Sweden	HEMLIG	KONFIDENTIELL	BEGRÄNSAT HEMLIG
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Notes:

Note 1 Belgium: 'Diffusion Restreinte/Beperkte Verspreiding' is not a security classification in Belgium. Belgium handles and protects RESTREINT UE/EU RESTRICTED information and classified information bearing the national classification markings of RESTRICTED level in a manner no less stringent than the standards and procedures described in the security rules of the Council of the European Union.

Note 2 France: Information generated by France before 1 July 2021 and classified SECRET DÉFENSE and CONFIDENTIEL DÉFENSE continues to be handled and protected at the equivalent level of SECRET UE/EU SECRET and CONFIDENTIEL UE/EU CONFIDENTIAL respectively.

Note 3 France: France handles and protects CONFIDENTIEL UE/EU CONFIDENTIAL information in accordance with the French security measures for protecting SECRET information.

Note 4 France: France does not use the classification 'RESTREINT' in its national system. France handles and protects RESTREINT UE/EU RESTRICTED information in a manner no less stringent than the standards and procedures described in the security rules of the Council of the European Union. France will handle classified information bearing the national classification markings of RESTRICTED level in accordance with its national rules and regulations in force for 'DIFFUSION RESTREINTE'. The other Participants will handle and protect information marked 'DIFFUSION RESTREINTE' according to their national laws and regulations in force for the level RESTRICTED or equivalent, and according to the standards defined in the present document.

Note 5 Germany: VS = Verschlusssache.

Note 6 Portugal and Spain: Attention is drawn to the fact that the markings RESERVADO used by Portugal and Spain refer to different classifications.

Annex 4

Conditions related to FSTP

Where FSTP is allowed, project proposals may include FSTP activities with a view to provide third parties with the opportunity to demonstrate their knowledge, technologies, capabilities, and products and to foster and increase their possibilities for future involvement in the European defence community.

The FSTP sub-calls should encourage a range of entities from different EU Member States, EDF associated countries or Ukraine, as well as different industry sectors, including those not active in the defence sector.

The estimated costs for the FSTP activities must not exceed 5% of the requested EU contribution for the entire EU project.

If the beneficiaries opt for FSTP activities, they must make sure that the following conditions are met (including by imposing them also on the recipients and verifying that they are complied with):

- maximum amount of financial support for each third party ('recipient'):
 - The maximum amount to be granted to each FSTP project must not exceed the ceiling set out in section 10.
- types of activity that qualify for financial support:
 - FSTP can be performed as part of any type of eligible activity within the proposal and may consider tasks such as, but not limited to:
 - customised support by providing battlefield proven knowledge, technology-specific expertise or innovative tools
 - support the manufacturing of technology test samples or components necessary for assessment
 - proof of concept; technology modification or demonstration
 - analysis and measurement
 - participation to a hackathon or technological challenge
 - technology showcase.
- persons or categories of persons to be supported (recipients):
 - FSTP recipients must be established in the EU or in EDF associated countries or in Ukraine⁴⁰. They must be subject to control by EU or EDF associated countries or Ukraine or by EU or EDF associated countries or Ukrainian entities.
 - FSTP recipients should in principle be SMEs, including start-ups. Applicants

⁴⁰ The inclusion of entities established in Ukraine among those eligible to receive financial support is in line with the general objectives of EDF, as established by Article 3 EDF Regulation, i.e., fostering the competitiveness, efficiency and innovation capacity of the European defence technological and industrial base (EDTIB) throughout the Union. The support to third parties established in Ukraine would contribute to the general objective of the Fund, thanks to the expertise the Ukrainian defence industry has developed in last years on the battlefield.

for FSTP must have self-assessed their SME status. The consortium should perform checks on the basis of random sampling in accordance with the criteria as defined in Article 2 of the Annex to Commission Recommendation 2003/361/EC. Participation of entities other than SMEs can only be accepted where no SMEs are available with the necessary capacity and expertise.

- FSTP recipients cannot participate in the EU project in any other capacity (beneficiaries, subcontractors involved in the action, affiliated entities).
- criteria and procedures for giving financial support:
 - The FSTP should be implemented through dedicated sub-calls for proposals with a target of minimum 3 FSTP projects per sub-call, depending on the research and industrial landscape of the target domain, with a view to give the recipients the opportunity to demonstrate their knowledge, technologies, capabilities and products/solutions within a maximum 6-months long cooperation programme that encompasses the associated tasks.
 - The sub-calls must be open, published widely and conform to EU standards concerning transparency, equal treatment, conflict of interest and confidentiality.
 - The outcome of the sub-calls must be published on the participants' websites, including a description of the selected FSTP projects, award dates, project durations, and final recipient legal names and countries.
 - The evaluations of the sub-calls must be performed within implementation phase of the EU project.

If FSTP activities are foreseen as part of the EU project, the project proposals must also describe key aspects regarding the sub-call architecture (types and number of sub-calls planned, selection procedures, types of activities funded, contribution to the EU project and results to be obtained, monitoring and payment modalities, roles and responsibilities of the beneficiaries with regard to management of the FSTP, etc).

In this context, project proposals should also include the rules they intend to impose for the:

- methodology for evaluating the belonging to various industry sectors, including when not active in the defence sector before.
- methodology for measuring contribution to the innovation performance of the supported SMEs in the short-term, e.g., via indicators such as numbers of new or significantly improved products (goods and/or services), processes, new marketing methods, or new organisational methods, and to its impact on resource efficiency and/or turnover.